



West Bengal State Electricity Distribution Company Limited

(A Government of West Bengal Enterprise)

Registered Office : Vidyut Bhaban, Block - DJ, Sector - II, Bidhannagar, Kolkata - 700 091.
CIN : U40109WB2007SGC113473; website : www.wbsedcl.in

Office Order No. : 969

Dated : 19-06-2015

Sub : "Whistle Blowing Policy" of the Company

In terms of the provisions of 177 (9) and 177(10) of the Companies Act, 2013 and Rule 7 of the Companies (Meetings of Board and its Powers) Rules, 2014 , the Board of Directors in its 57th meeting held on 2nd June, 2015 framed a "Whistle Blowing Policy" for the Company. The objective of the policy is to build and strengthen a culture of transparency and trust in the organization and to empower the employees of WBSEDCL to raise their concerns about malpractice, impropriety, abuse or wrongdoing at an early stage and in the right way, without fear of victimization, subsequent discrimination or disadvantage. The Policy also contains specific provisions and adequate safeguard for protection of genuine complains from victimization for whistle blowing in good faith.

However, the Company will view very seriously any false and malicious allegations which are made under this policy and will regard such allegations by any employee of the Company as a serious disciplinary offence.

It is also impressed upon that anonymous/pseudonymous complains will not be entertained and will be summarily discarded.

It is decided that the Whistle Blowing Policy will be disclosed on the Company's website and in the Board's report regularly.

A copy of the Whistle Blowing Policy is enclosed as ready reference.

This order takes immediate effect.

(T. K. Rudra)
Director (H.R.)

VIGIL MECHANISM/ WHISTLE BLOWING POLICY

1. PREFACE

Section 177 (9) of the Companies Act, 2013 mandates the following classes of companies to constitute a vigil mechanism –

- Every listed Company;
- Every other Company which accepts deposits from the public;
- Every Company which has borrowed money from banks and public financial institutions in excess of ₹50 crore.

The Company in compliance with the above requirement has formulated this Whistle blower Policy (“the Policy”) in order to provide a framework for responsible and secure Whistle blowing/vigil mechanism.

The Company has framed and adopted West Bengal State Electricity Distribution Company Limited Employees Service Regulations which govern the conduct of management of employees of the Company. The Vigilance department of the Company is also empowered to initiate investigations on its own and act on complaints received from public/ employees, with regard to violations of Company’s rules and procedures and code of ethics in the conduct of the business.

Any actual or potential violation of the Company’s rules, regulations and policy governing the conduct of business is a matter of serious concern for the Company. The Company is therefore, committed to developing a culture where it is safe for employees to raise concerns about instances if any, where such rules, regulations and policy are not being followed or any fraud has been committed or business has been conducted in an unethical manner.

2. POLICY OBJECTIVES

The policy is intended to build and strengthen a culture of transparency and trust in the organization and to provide employees with a framework/ procedure for responsible and secure reporting of improper activities within the Company and to protect employees wishing to raise a concern about improper activities/ irregularities within the Company.

3. DEFINITIONS

The definitions of some of the key terms used in this Policy are given below:

- a. **“Company”** means West Bengal State Electricity Distribution Company Limited.
- b. **“Associates”** means and includes vendors, suppliers and others with whom the Company has any financial or commercial dealings.
- c. **“Audit Committee”** means the Audit Committee of Directors constituted by the Board of Directors of the Company in accordance with Section 177 of the Companies Act, 2013.
- d. **“Employee”** means every employee of the Company in employment.
- e. **“Code”** means the WBSEDCL Code of Business Conduct and Ethics.
- f. **“Competent Authority”** means the Chairman & Managing Director of the Company and will include any person(s) to whom he may delegate any of his powers as the Competent Authority under this Policy from time to time.
- g. **“Director”** means every Director of the Company, past or present.
- h. **“Disciplinary Authority”** means Director (HR) of the Company.
- i. **“Improper Activity”** means any activity by an employee of the company that is undertaken in performance of his or her Official duty, whether or not that act is within the scope of his or her employment, and that is in violation of any law or the rules of conduct applicable to the employee, including but not limited to abuse of authority, breach of contract, manipulation of company data, pilferage of confidential/ proprietary information, criminal offence, corruption, bribery, theft, conversion or misuse of the company’s property, fraudulent claim, fraud or willful omission to perform the duty, or that is economically wasteful or involving gross misconduct, incompetence or gross inefficiency and any other unethical biased favoured or imprudent act.

Activities which have no nexus to the working of the Company and are purely personal in nature are specifically excluded from the definition of improper activity.

- j. **“Investigators”** mean employees of the Company or third parties assigned to conduct investigations to ascertain the credibility of such whistle blower complaints.
- k. **“Protected Disclosure”** means any communication made in good faith that discloses or demonstrates information that may evidence unethical or improper activity.
- l. **“Service Rules”** means West Bengal State Electricity Distribution Company Limited Employees Service Regulations.
- m. **“Subject”** means a person against or in relation to whom a Protected Disclosure has been made or evidence gathered during the course of an investigation.
- n. **“Whistle blower”** means an Employee or Director making a protected disclosure under this Policy.

4. ELIGIBILITY

All Directors and Employees of the Company are eligible to make Protected Disclosures under the Policy.

5. PROTECTION

Persons making genuine and appropriate complaints under this policy are assured of fair treatment. In addition, the employees of the Company are also assured of protection against unfair dismissal, victimisation or unwarranted disciplinary action, even if the concerns raised turned out to be unsubstantiated. The Company reserves the right to take appropriate actions against anyone (employees or related Third Parties) who initiates or threatens to initiate retaliation against those who have raised concerns under this policy. In particular, employees who initiate or threaten retaliation will be subject to disciplinary actions, which may include summary dismissal. Management will support all employees and encourage them to raise concerns without fear of reprisal.

In exceptional cases the employees and Directors who avail the vigil mechanism shall have direct access to the Chairman of the Audit Committee.

6. CONFIDENTIALITY

Every effort will be made to keep a Whistleblower's identity confidential. The Company will endeavour to advise and obtain permission from the Whistleblower in advance if his or her identity may become apparent or need to be disclosed. Should an investigation lead to a criminal prosecution, it may become necessary for a Whistle blower to provide evidence or be interviewed by the relevant authorities. For his or her part, in order not to jeopardise the investigation, the Whistle blower is also required to keep confidential the fact that he or she has filed a report as well as the nature of concerns and the identities of those involved.

7. REPORTING MECHANISM

- a) The Protected Disclosure should be submitted under a covering letter signed by the complainant in a closed and secured envelope and should be super scribed as **“Protected Disclosure under Whistle Blowing Policy”** and should be sent by Post, not later than 3 (three) months from the day on which he/she knew or reasonably should have known of the Concern. If the complaint is not super scribed as mentioned above, the Protected Disclosure will be dealt with as if it is a normal disclosure.
- b) All Protected Disclosures should be addressed to the Competent Authority for investigation.
- c) If the Whistle Blower believes that there is a conflict of interest between the Competent Authority and the Whistle Blower, he may send his protected disclosure directly to the Chairman of the Audit Committee of the Board of Directors of the Company c/o the Company Secretary.
- d) If a Protected Disclosure is received by any executive of the Company other than Competent Authority, the same should be forwarded to the Competent Authority for further appropriate action.
- e) Protected Disclosures should be reported in writing so as to ensure a clear understanding of the issues raised and should either be typed or written in a legible handwriting in English, Hindi or in the regional language of the place of employment of the Whistle blower.
- f) The contact details of the Chairman of the Audit Committee of the Company are as under:

Chairman – Audit Committee of Board of Directors
C/O Office of Company Secretary,
West Bengal State Electricity Distribution Company Limited
Block –DJ, Sector-II, Salt Lake City
Kolkata-700 091

- g) In order to protect the identity of the complainant, no acknowledgement to the complainants will be issued and the Whistle Blowers should not write their name/address on the envelope nor enter into any further correspondence with the Company.

8. PROCEDURE FOR HANDLING THE DISCLOSED CONCERN

- a. On receipt of Protected Disclosure, the Competent Authority shall detach the covering letter and verify / confirm the authenticity of the Whistle Blower. On receipt of the confirmation, the Protected Disclosure shall be forwarded to the investigators for investigations.
Anonymous/ pseudonymous complaints will not be entertained.
- b. After the covering letter is detached, the dummy complaint (photo copy of the original Complaint) will be given a number with which the original complain be traced back.
- c. The Original complaint will be kept in a safe /Almirah. The custody of the safe/Almirah will remain with the Office of the Company Secretary and at no time the complaint can be accessed without proper authority from the Competent Authority /Chairman of the Audit Committee as the case may be.
- d. Competent Authority /The Chairman of the Audit Committee will take the decision whether the complaint needs to be investigated or is to be ignored.
- e. Competent Authority /The Chairman of the Audit Committee will take no actions on complaints relating to financial and business decisions taken by the Company and administrative matters like recruitment, promotion, transfers and other related issues. Competent Authority /The Chairman of the Audit Committee will also not reconsider any matters which have already been addressed pursuant to disciplinary or other procedures of the Company.
- f. In case of repeated frivolous complaints being filed by a Director or an employee, the Competent Authority /Chairman of the Audit Committee may take suitable action against the concerned Director or employee including reprimand.

9. WHO WILL INVESTIGATE IN TO THE CONCERN

The Concern disclosed shall be investigated by an Inquiry Committee formed within each Division as well as at the Corporate Office comprising at least three amongst the following:

- Division Head
- Department Head
- Division Finance In- Charge
- Division HR In- Charge

Pursuant to the investigation by the Inquiry Committee, the final decision in the matter will be taken by the Disciplinary Committee formed at the corporate office comprising the following:

- Director (HR)
- Director (Finance)
- General Manager (Internal Audit)
- Head of Legal

10. INVESTIGATION:

1. Investigations will be launched only after a preliminary review by the Competent Authority which establishes that;
 - i) The alleged act constitutes an improper or unethical activity or conduct, and
 - ii) The allegation is supported by information specific enough to be investigated or in cases where the allegation is not supported by specific information but it is felt that the concerned matter deserves investigation.
2. If the Competent Authority determines that an investigation is not warranted, reason(s) for such determination shall be recorded in writing.
3. If the Competent Authority is prima facie satisfied that the Protected Disclosure warrants investigation of the alleged improper activity, Competent Authority will direct appropriate investigating machinery of the Company to investigate the matter.
4. The decision to conduct an investigation taken by the Competent Authority is by itself not to be construed as an accusation and is to be treated as a neutral fact- finding process.

5. The identity of a Subject and the Whistle Blower will be kept confidential to the extent possible given the legitimate needs of law and the investigation.
6. Subjects will normally be informed of the allegations at the outset of a formal investigation and will be given opportunities for providing their inputs during the investigation.
7. Subjects shall have a duty to co-operate with the Competent Authority or any of the Investigators during investigation to the extent that such cooperation will not compromise self-incrimination protections available under the applicable laws.
8. Subjects have a responsibility not to interfere with the investigation. Evidence shall not be withheld, destroyed or tampered with, and witnesses shall not be influenced, coached, threatened or intimidated by the Subjects.
9. Unless there are compelling reasons not to do so, Subjects will be given the opportunity to respond to material findings contained in an investigation report. No allegation of wrongdoing against a Subject shall be considered as maintainable unless there is good evidence in support of the allegation.
10. Subjects have right to be informed of the outcome of the investigation.
11. The investigation shall be completed normally within 45 days of the date of receipt of the protected disclosure or such extended period as the Competent Authority may permit for reason to be recorded.

11. ROLE OF INVESTIGATORS:

1. Investigators are required to conduct a process towards fact-finding and analysis. Investigators shall derive their authority from Audit Committee /Competent Authority when acting within the course and scope of their investigation.
2. All Investigators shall perform their role in an independent and unbiased manner. Investigators have a duty of fairness, objectivity, thoroughness, ethical behavior and observance of professional standards.

12. ACTION:

1. If the Competent Authority is of the opinion that the investigation discloses the existence of improper activity which warrants disciplinary action against the subject, the

Competent Authority shall report the matter to the concerned Disciplinary Authority for appropriate disciplinary action.

2. The Competent Authority shall take such other remedial action as deemed fit to remedy the improper activity mentioned in the protected disclosure or to prevent the re-occurrence of such improper activity.
3. If the Competent Authority is of opinion that the investigation discloses that no further action on the protected disclosure is warranted, he shall so record in writing. Recording should be incorporated in the Annual Report to be submitted to Audit Committee as mentioned in sub-para 1 of para 13 (Reporting & Review).
4. The decision of the Audit Committee should be considered as final and no challenge against the decision would be entertained, unless additional information becomes available.

13. REPORTING AND REVIEW:

1. The Competent Authority shall submit an annual report of the protected disclosures, received, of the investigation conducted, and of the action taken to the Audit Committee of the Board of Directors of the Company.
2. The Audit Committee shall have power to review any action or decision taken by the Competent Authority.

14. FALSE REPORTS

If a Whistle blower makes a false report maliciously, with an ulterior motive, or for personal gain, the Company reserves the right to take appropriate actions against him/her to recover any loss or damage as a result of the false report.

15. ROLE OF INVESTIGATOR

- a. A structured approach should be followed to ascertain the credibility of the charge.
- b. Ensure that the confidentiality and secrecy of the issue reported and subject is maintained.
- c. Provide timely update to the Competent Authority on the progress of the investigation.
- d. Ensure investigation is carried out in an independent and unbiased manner.
- e. Document the entire approach of the investigation.

- f. Investigation Report including the approach of investigation should be submitted to the Competent Authority with all the documents in support of the observation

16. RETENTION OF DOCUMENTS

All Protected Disclosures in writing or documented along with the results of investigation relating thereto shall be retained by the Company for a minimum period of seven years.

17. AMENDMENT

The Company reserves its right to amend or modify this Policy in whole, or in part, at any time without assigning any reason whatsoever. However, no such amendment or modification will be binding on the Employees and Directors unless the same is notified to the Employees and Directors in writing.